₹3,018 cr.

The amount IndiGo raised in its 2005 IPO, the largest by an Indian airline at the time

DID YOU KNOW?

Designer Rajesh Pratap Singh and Ambika Pillai created IndiGo's uniform in 2010. With it, the airline launched its first ever 'Being on time is a wonderful thing' TV commercial

AFFORDABLE WINGS

- **Air Deccan, which enabled middle- and lower-income groups to think of flying, inspired other budget airlines like SpiceJet, IndiGo and GoAir**
- **Small cities started flights to big cities. The need for budget airlines led to modern and expanded airports**
- **The success of low-cost carriers in a way laid the foundations for schemes like UDAN, which helped regular people fly more easily**
- **Air fares came down sharply as competition among airlines went up**
- **Air Deccan's money troubles underscored the importance of financial efficiency. IndiGo learnt this lesson well**

"In India, almost more than 50 per cent of air travel now is with the lower-cost segment.... I think we will have to see a transition in a larger percentage—migrating from the full service or legacy carriers to the low-cost model"



— PRAFUL PATEL, *Former civil aviation minister at the 14th Wharton India Economic Forum, Aug. 2010*

bus journeys. And sleepy airports in smaller cities suddenly came to life. Yes, there were delays, cancellations and the service was basic, but the new budget airlines were here to stay.

Today, low-cost carriers cover over 80 per cent of domestic flights. In fact, the democratisation of air travel set the stage for India's aviation boom, laying the groundwork for later government initiatives like UDAN (Ude Desh ka Aam Naagrik).

Air Deccan itself ran into rough weather after a few years. Its fast growth hurt financially and service quality dropped even as it became the country's second-largest airline by 2007. The following year, Kingfisher Airlines acquired Air Deccan. But not before "low-cost carrier", "no-frills airline" and "Capt. Gopinath" left a permanent mark on the Indian civil aviation sector.

Where Air Deccan failed, Inter-Glove Aviation Ltd soared. IndiGo, as the airlines was called, entered the market in 2006 with none of the chaos or overreach that marked its predecessors. Founded by Indian-American billionaire and former chief executive of US Airways Group, Rakesh Gangwal, along with businessman Rahul Bhatia, who still leads the airline, IndiGo kept its approach simple: focus on being on time, keep costs low and stick to what works. Today, the airline has the largest fleet, over 350 planes, in India, set to double in a few years. It employs the highest number of pilots and flies to 124 destinations, including 36 international ones.

Now firmly established as India's homegrown aviation brand, IndiGo is preparing to go global and big. It may not have invented low-cost flying in India, but it certainly took Capt. Gopinath's idea to greater heights. ■



FROM THE ARCHIVES
Jul. 11, 2005

Cover story
Welcome Aboard

Catching a flight was never this easy nor was it so cheap. Despite the high and rising costs of aviation turbine fuel—which take up 20 to 30 per cent of the cost of a ticket—the launch of two new budget airlines has seen ticket prices nosediving by 30 to 60 per cent on major sectors....
–Puja Mehra and Sandeep Unnithan